

FIVE YEARS AGO, the National Payments Corporation of India (NPCI), a lesser-known organisation pioneering financial infrastructure in the country, held an off-site meeting for senior management under Dilip Asbe, the newly appointed MD & CEO.

The mood was one of optimism, as NPCI was celebrating the success of the Unified Payments Interface (UPI) in achieving 1 billion transactions per month. UPI, introduced in April 2016, facilitates swift, 24/7 money transfers between bank accounts in India via a QR code. Not content with that milestone, Asbe—an engineer by training who has had stints with BSE, global money transfer giant Western Union, and payments player Euronet Asia Pacific—surprised everyone by announcing a target of processing 1 billion transactions a day within five years.

68 | At that time, NPCI was handling approximately 25 million transactions a day, a considerable 37 times lesser than Asbe’s ambitious goal. Fast forward to today, and though the target hasn’t been met, UPI transactions are breaking records, registering a remarkable 393 million transactions each day, just three times shy of the initial target. Enter the disruptors: The pandemic, which accelerated digital payments; non-bank giants like GPay and PhonePe pushing boundaries with cashbacks; and distributing ubiquitous QR codes to small merchants, from *chaiwallahs* to vegetable vendors. New use cases, which Asbe was banking on, also emerged, ranging from paying utility bills and

investing in the stock market to global remittances and beyond.

This juggernaut is now charging towards meeting the goal of 1 billion transactions a day in the next two years. What will fuel the next phase of UPI’s growth? It’s not just debit transactions; it’s about credit on UPI, which is the next big thing. There is also a global expansion underway into over half a dozen neighbouring countries.

To put UPI’s achievements in context, San Francisco-headquartered Visa reigns supreme, swiping 212 billion debit and credit transactions annually; not far behind, New York-based Mastercard boasts 170 billion transactions; then comes NPCI, which has already registered 150 billion transactions per year. Asbe is now gunning for the two global majors. He declares, “In another two-three years, we expect to surpass the combined total of both Mastercard and Visa.”

Considering NPCI’s stellar growth, it doesn’t seem out of reach. A crucial distinction lies in UPI’s composition, predominantly debit transactions, unlike the global networks that encompass both debit and credit card transactions. But here again, the next big product is the credit line on UPI without any plastic card, which will push small-ticket digital loans on the fly. Second, NPCI’s success shows that it could change how the whole world makes payments. And do it at a far lower cost to customers.

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STILL, THERE’S MORE to India’s highly sought-after payments firm. The NPCI aspires to join the ranks of lead-

“In another two-three years, we expect to surpass the combined [transactions] of both Mastercard and Visa”

DILIP ASBE MD & CEO, NPCI



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